

June 1, 2026

Professor Mete Kilic
USC

RE: MS # 20230176, "Debt Overhang During Policy Uncertainty: The Case of Gold Clauses in the 1930s"

Dear Professor Kilic:

I would like to thank you for revising and resubmitting your paper "Debt Overhang During Policy Uncertainty: The Case of Gold Clauses in the 1930s" to the *Review of Financial Studies*. Before I begin, let me give you some well-meant advice. It took you 3 (!) years to revise and resubmit the paper. I understand this is mainly due to data collection work. If you ever find yourself in a situation like this again, I strongly recommend that you keep the editor informed about the delay. In your case, the right strategy would have been to email me after, say, 12-14 months, and then probably again 12 months later. I am saying this because I know with certainty that many other journals would have not honored the R&R decision but rather treated your manuscript as a new submission, with brand-new referees. (I was seriously considering this too.) If you want to avoid this from happening, I suggest you keep the communication channel with the editor open.

Now, as far as the paper is concerned: we're making progress. R1, who was previously negative, recommends accepting your paper as is. He/she did not submit a report. R2 wants to see a table and figure for the stock-return analysis but is otherwise happy with the revision. R6 is also quite positive but wants you to be more upfront about some of the papers' shortcomings, especially why you don't/can't include a full set of FE consistently everywhere. If you lack power that's OK, but that needs to be explained, and the table with the full set of FE (and possibly insignificant results) should nevertheless be shown somewhere, at least in the appendix. R6 is quite clear in his/her report. To add color, and give you a better sense where you stand, let me quote from R6's cover letter:

A key issue is whether the authors can clearly disentangle the effects of uncertainty about the abrogation of gold clauses from other confounders—other policies and firm characteristics, and whether it is about the gold clause vs interest-bearing leverage. There is not much they can do about the second given how firms structured their debt. I appreciate the refinement in the definition of the treatment

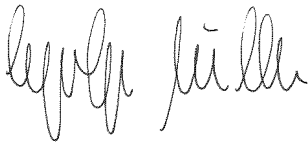
effect, but the ideal case would be not to have preferred shares either. I am willing to look passed this, but the paper should be more upfront. The bigger issue is other confounders. They have tried to address this in the robustness section in Table 6, but as you can see they cannot control for a full set of fixed effects. What bothers me more is that they have not shown us the results with all effects, and instead state they do not include industry-year FEs in all columns to assess the robustness to industry and firm separately. This is a weak argument. If the issue is that they have too few firms to do this without the treatment effects being killed, they should say that. Readers may understand, but they need to know. And I would like to see how bad effects get—is it noisy or do the results become small and insignificant?

I also find the placebo less helpful than the paper claims, but that's a personal taste.

In sum, I don't think there is a whole lot more they can do given the data available. Despite the weaknesses, I still think the paper is interesting. I just would like the weaknesses to come across clearly in the paper. Thus, I would give them a strong R&R at this point.

And that's precisely what I will do: give you a "strong R&R." I will send your paper back to both R2 and R6, so please prepare response letters for both. I am looking forward to your revision, hopefully within the next few months.

Sincerely,

A handwritten signature in black ink, appearing to read 'Holger Mueller', with a stylized, cursive script.

Holger Mueller
Editor